

# MASSEY UNIVERSITY SUSTAINABILITY IN RETAIL

**OMNIBUS REPORT**

JULY 2020

PREPARED BY

**PERCEPTIVE**



# METHODOLOGY

- The Massey University Business School commissioned Perceptive to undertake research to focus on views of New Zealanders surrounding sustainability, retail sustainability and influence of sustainability on New Zealand customers. This report draws insights in different sustainability domains and pulls comparison from last year to show any changes. This report goes into depth with the agreement of statements surrounding the following topics:
  - Societal Domain
  - Environmental Domain
  - Supplier Domain
  - Shareholder Domain
  - Community Domain
  - Employee Domain
  - Customer Domain
- Perceptive conducted an online survey through the July 2020 Omnibus which surveys a minimum of n=1000 New Zealanders using a nationwide sampling framework. The results are then weighted to Statistics New Zealand census gender, age and location to give a representative sample of the population.
- This survey collected n=1,042 responses from New Zealanders, which have been analysed and presented within this report.



# EXECUTIVE SUMMARY

Among the components of sustainability, 'Being environmentally responsible' remains on top in meaning (72%) and importance (84%).

The pattern around the sustainable brands recalled in 2020 remain same as the ones recalled in 2019. The main retailer brands that come to mind are:

- Ecostore
- Supermarkets: Countdown
- Clothing retailers: The Warehouse and Kathmandu

More New Zealanders want to purchase products that come from businesses that implement sustainability (40%, up 9 PP from 2019) and nearly half of New Zealanders (46%) would pay more for a product that is made sustainably. Those aged below 44 years are more likely to make conscious purchases (47%) compared to those over 45+ years old (33%).

A large majority of New Zealanders agree or strongly agree with how buying products that are sustainable can have a positive effect on society (73%). Among those who are willing to spend more for sustainable products there is a stronger agreement that they can contribute to a sustainable future by buying sustainable products (95%).

Most New Zealanders have strong positive perceptions around a bottle deposit scheme (80%). Close to two-thirds of the New Zealanders believe strongly in take-back packaging scheme (64%), this has increased by 5 percentage points since last year. Females (67%) are more likely to agree with this.



# EXECUTIVE SUMMARY

Just over one-third of New Zealanders agree they have a good knowledge about sustainability issues (35%), our most clued up audience appears to be males (39%) and the younger demographic of 18-24 year olds (52%).

Overall in terms of the different domains, Environmental and Employee domain remains to be the most important for New Zealanders. In terms of Employee, providing safe working conditions was the most important (85%).

Promoting diversity and inclusiveness within their workplace environment (60%) is most important societal domain statement resonating with New Zealanders, which is high in females (63%) and 18-24 year olds (69%).

For environmental domain, preventing waste and disposing of waste correctly was the most important (84%), this is important in for females (85%) and those over 55 years+(87%).

Over three-quarters of New Zealanders (78%) strongly feel that it is very important for brands to provide opportunities to engage in environmental positive behaviours, this is highest in females (82%) vs males (73%) and 65+ year olds (87%).

# SUSTAINABILITY MEANING

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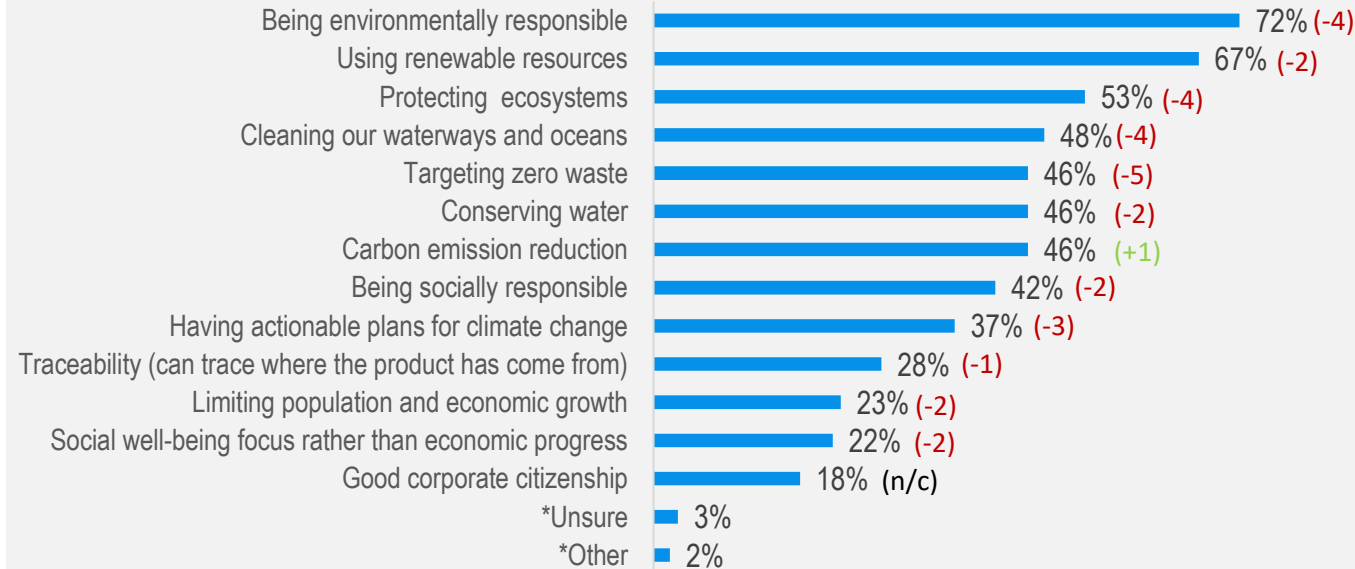
# WHAT DOES SUSTAINABILITY MEAN TO YOU

Being environmentally responsible remains to be the main overarching theme of what sustainability means to New Zealanders (72%), highest in females (79%) and 45-54 year olds (80%). This was also ranked most important (84%), an increase in 4 percentage points compared to last year.

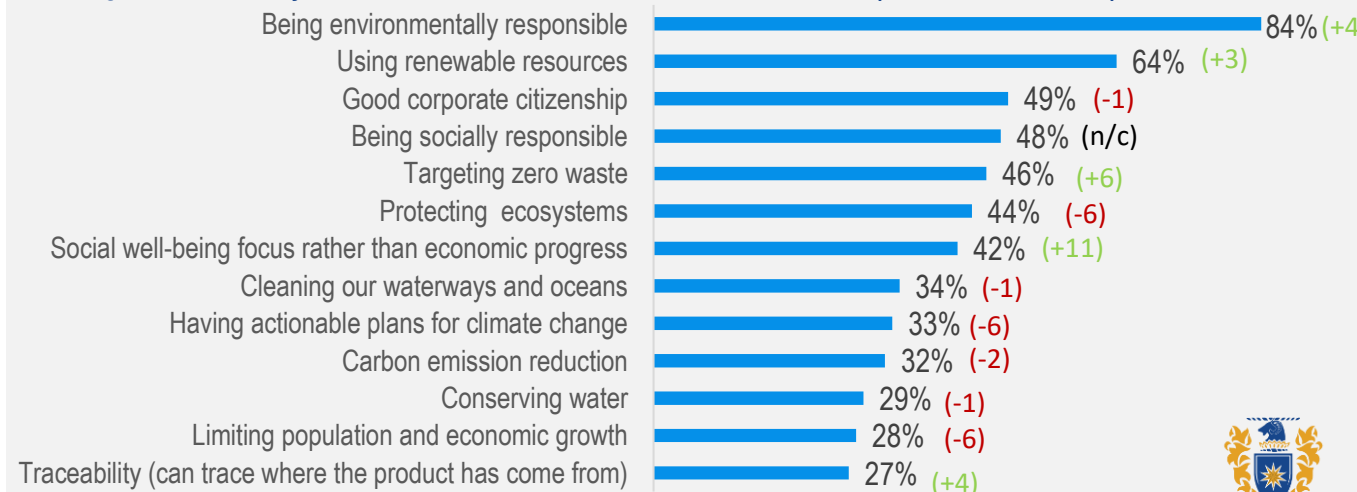
Using renewables (64%) was the second most important statement followed by Good corporate citizenship (49%).

In terms of rank the statement surrounding social well-being over economic progress witnessed the highest increase in importance this year, up 11 percentage points in 2020.

## Q What does sustainability mean to you?



## Q. Of the ones you selected: Please rank them from most important to least important



New Zealand's businesses are increasingly looking at how they can implement sustainability into strategies. New Zealand based Ecostore is perceived as being a leader in sustainability with their sustainable plant-based and mineral-based products.

The pattern around the brands recalled in 2020 remain same as the ones recalled in 2019.

The Warehouse and Countdown are the main supermarket retailers that come to mind and this is most likely due to recent media attention around making sustainability affordable as well as the move to stop selling single use plastic bags in mid 2019.

There have been some big wins for Kathmandu in sustainable practices, seeing an increase in mention from 2019 to 2020.

However, there is still a large population of New Zealanders said no retailer came to mind when thinking of sustainability.

**Q** What retail brands come to mind when you think of sustainability?



# PURCHASING SUSTAINABLE PRODUCTS

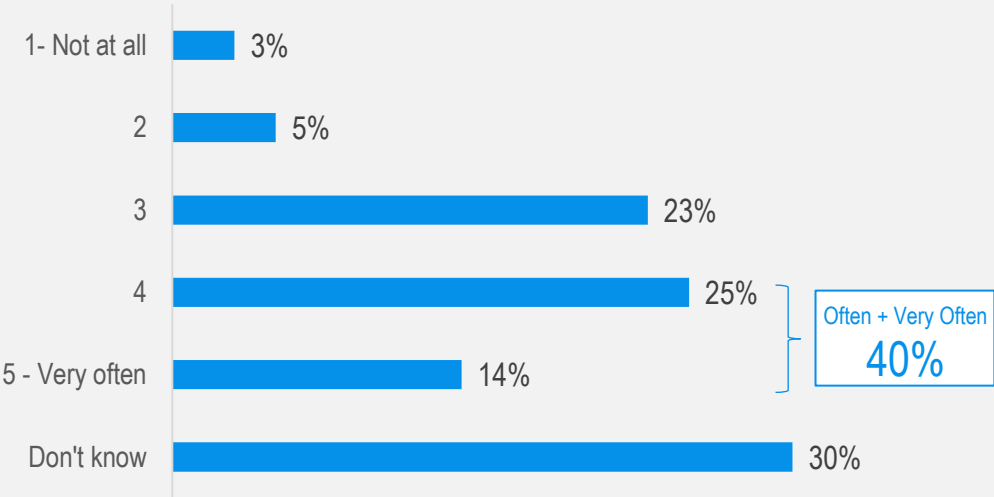
Two in five New Zealanders consider sustainability when making a purchase where they often or very often buy products (40%) that come from a business that implements sustainable practices (up 9 percentage points compared to last year). Those aged below 44 years are more likely to make conscious purchases (47%) compared to those over 45+ years old (33%).

Three in ten New Zealanders are not aware if the products they buy come from a business that implements sustainable practices.

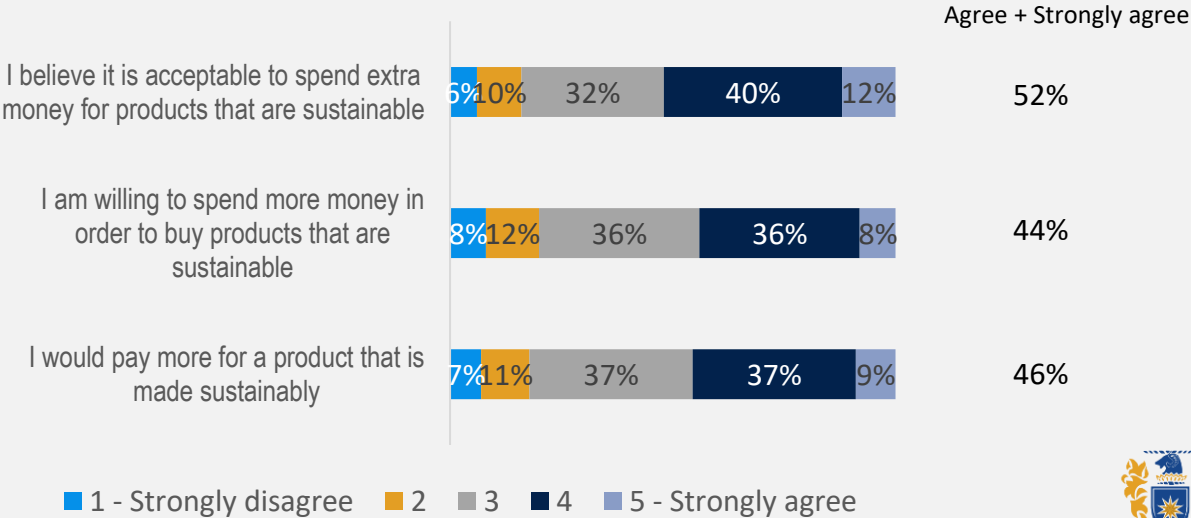
Over half of New Zealanders believe it is acceptable to spend extra for products that are sustainable (52%), while only 44% are willing to spend more to buy sustainable products. The willingness to pay more for sustainable product is significantly higher in females (48%) vs males (39%) and is high among 25-34 year olds (49%).

Close to half (46%) of New Zealanders would pay more for a product that is made sustainably, highest in females (49%) and 25-34 year olds (53%).

Q How often do you buy a product that has come from a business that implements sustainable practices?



## Likelihood to pay more to buy products that are sustainable (Top two boxes)



Base: Total (n=1,042)



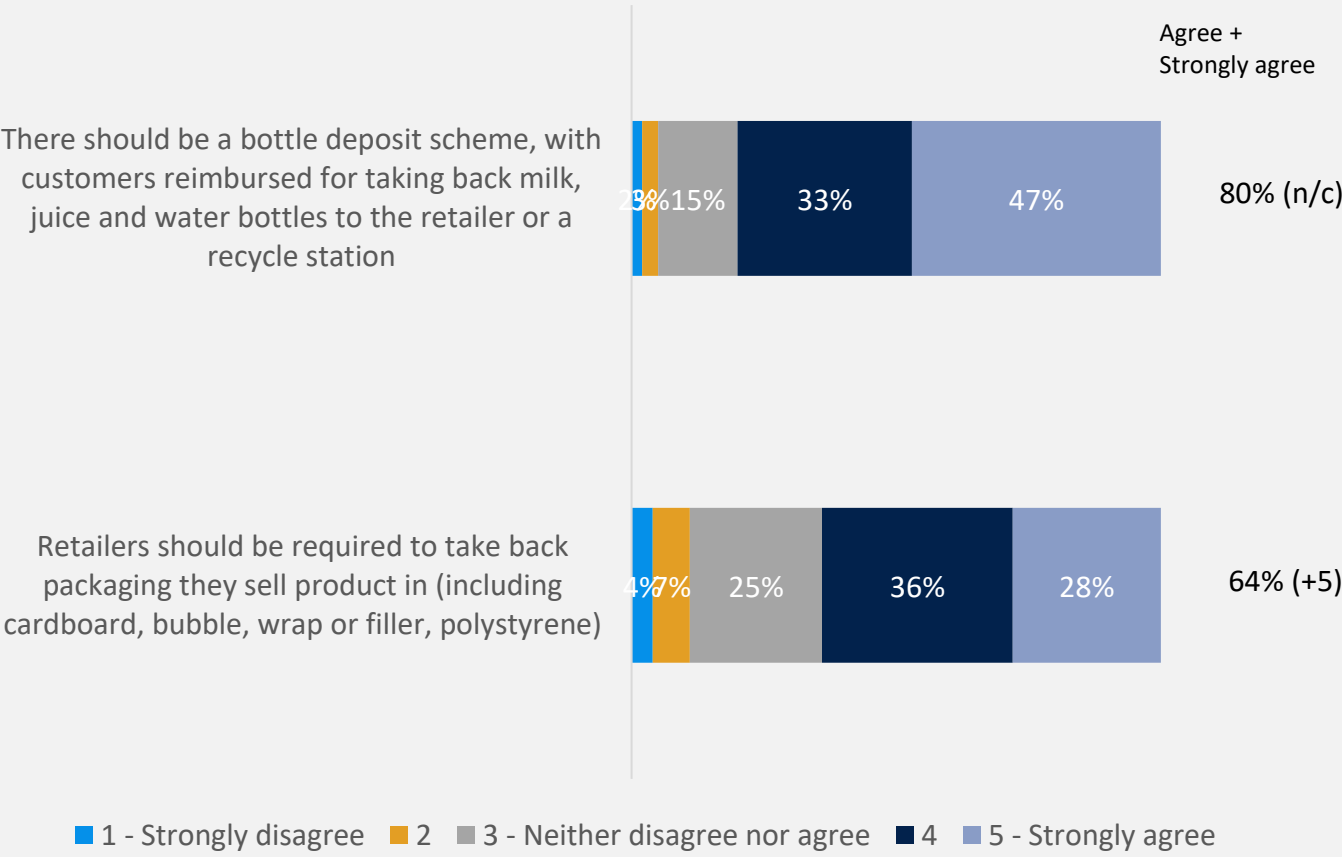
# TAKING BACK PACKAGING

A large majority of New Zealanders agree or strongly agree with bottle deposit schemes (80%) which is stronger among Females (82%) and those aged 55 years + (84%)

However, close to two-thirds of the market believe that retailers should be required to take back packaging (64%), this has increased by 5pp since last year. Females (67%) are more likely to agree with this.

Among those who are willing to pay more (77%) or would pay more (75%) for sustainable products there is strong agreement on retailer taking back packaging from their products ( Total market 64%).

**Q** To what extent do you agree with the following statements



Base: Total (n=1,042) (+/- signifies change compared to last year) (n/c signifies no change)



# PERCEIVED CUSTOMER EFFECTIVENESS

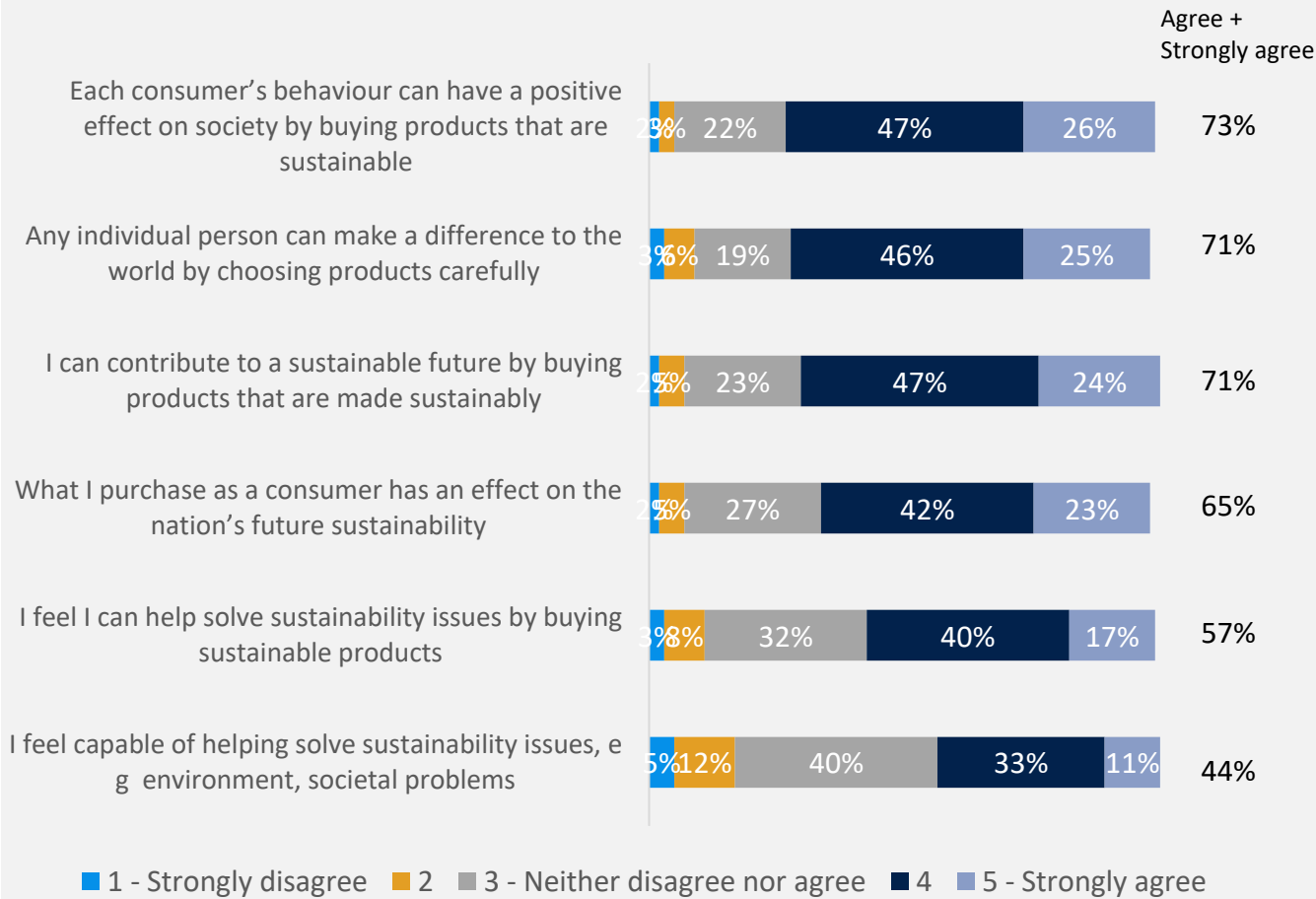
There appears to be a strong level of agreement across board with perceived customer effectiveness statements. A large majority of New Zealanders agree or strongly agree with how buying products that are sustainable can have a positive effect on society (73%). This agreement is stronger among females (77%).

Among those who are willing to spend more for sustainable products there is a stronger agreement that they can contribute to a sustainable future by buying sustainable products (95% vs Total market 71%) and having a positive effect on society by buying sustainable products (92% vs Total market 73%) statements.

Across the board, females are likely to have stronger perception around customer effectiveness statements.

Over half New Zealanders (57%) feel they can help solve sustainability issues by buying sustainable products, while only 44% Kiwis feel they are capable solving sustainability issues, highest among 25-34 year olds (53%).

Q To what extent do you agree with the following statements



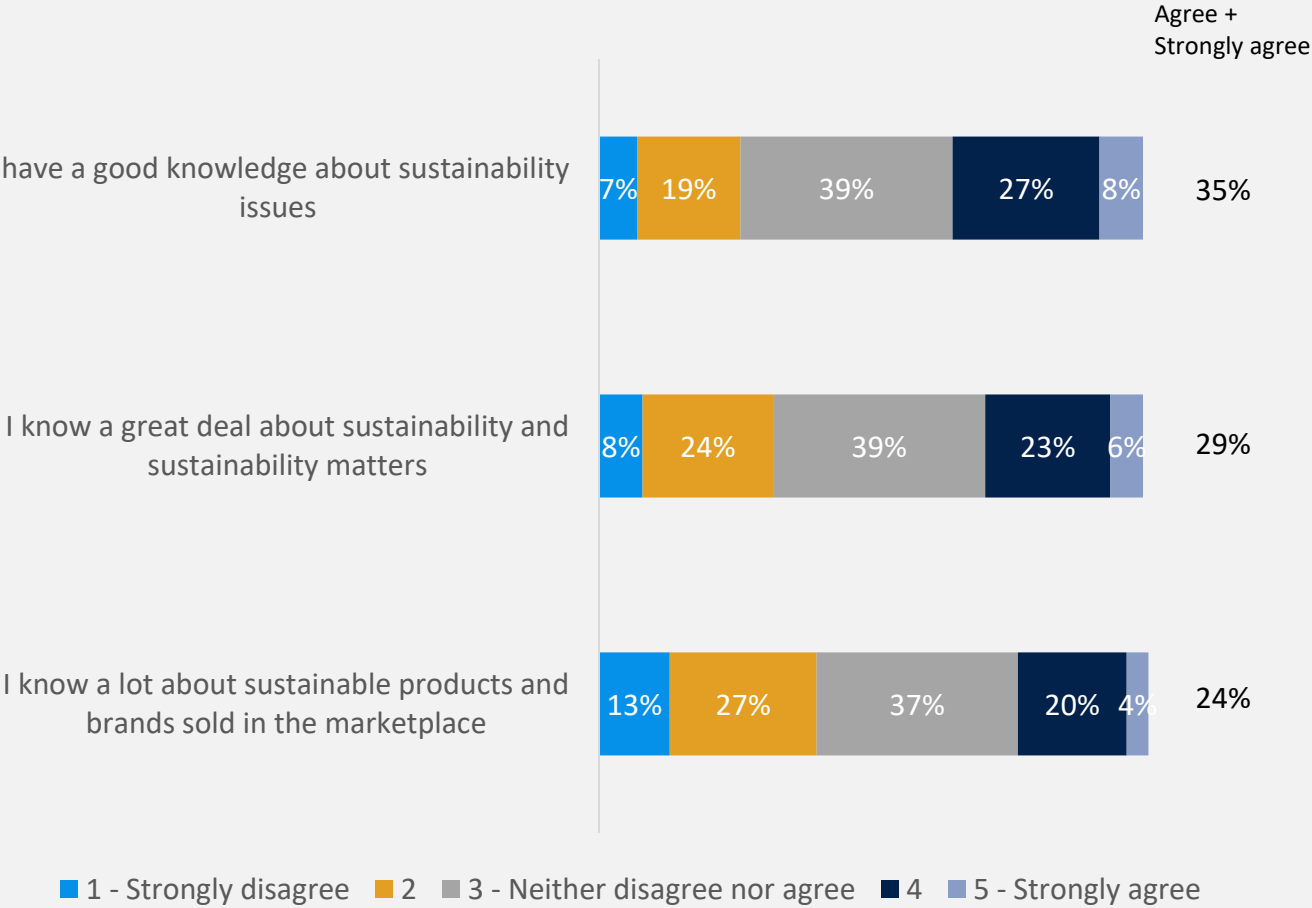
# SUSTAINABILITY LITERACY

Across the board of statements, New Zealanders are on the fence when it comes to sustainability literacy.

Just over one-third of New Zealanders agree they have good knowledge about sustainability issues (35%), our most clued up audience appears to be males (39%) and the younger demographic of 18-24 year old's (52%). While only 29% of New Zealanders know a great deal about sustainability and specific matters, this again is more likely among 18-24 year old's (42%).

Nearly a quarter of New Zealanders agree or strongly agree that they know a lot about sustainable products and brands sold in the marketplace (24%), highest among 25-34 year olds (37%). Knowledge of sustainable product and brands is significantly higher in younger Kiwis 18-34 year olds (34%) compared to 35-54 year olds (22%) and 55+ year olds (13%).

**Q** To what extent do you agree with the following statements



# AGREEMENT TO VARIOUS DOMAINS

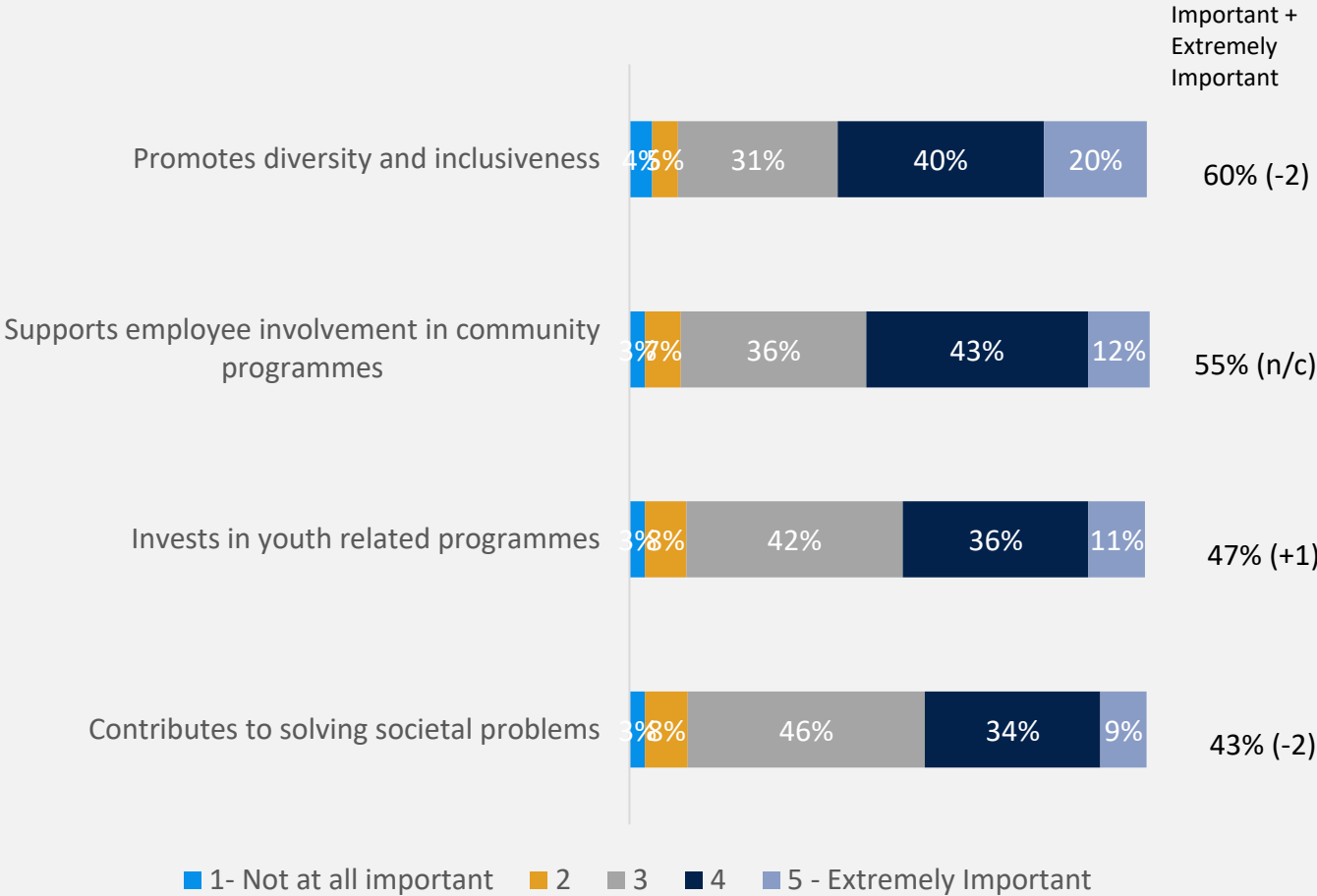
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# SOCIETAL DOMAIN

The most important societal domain statement resonating with New Zealanders is that retail businesses promote diversity and inclusiveness within their workplace environment (60%), down 2 percentage points since last year. This is most important for females (63%) and 18-24 year olds (69%).

We see a slight increase in importance for investing in youth related programmes, up 1 percentage point.

Q How important is it that a retail business/brand implements or are involved in the following: Societal Domain



Base: Total (n=1,042), (+/- signifies change compared to last year) (n/c signifies no change)



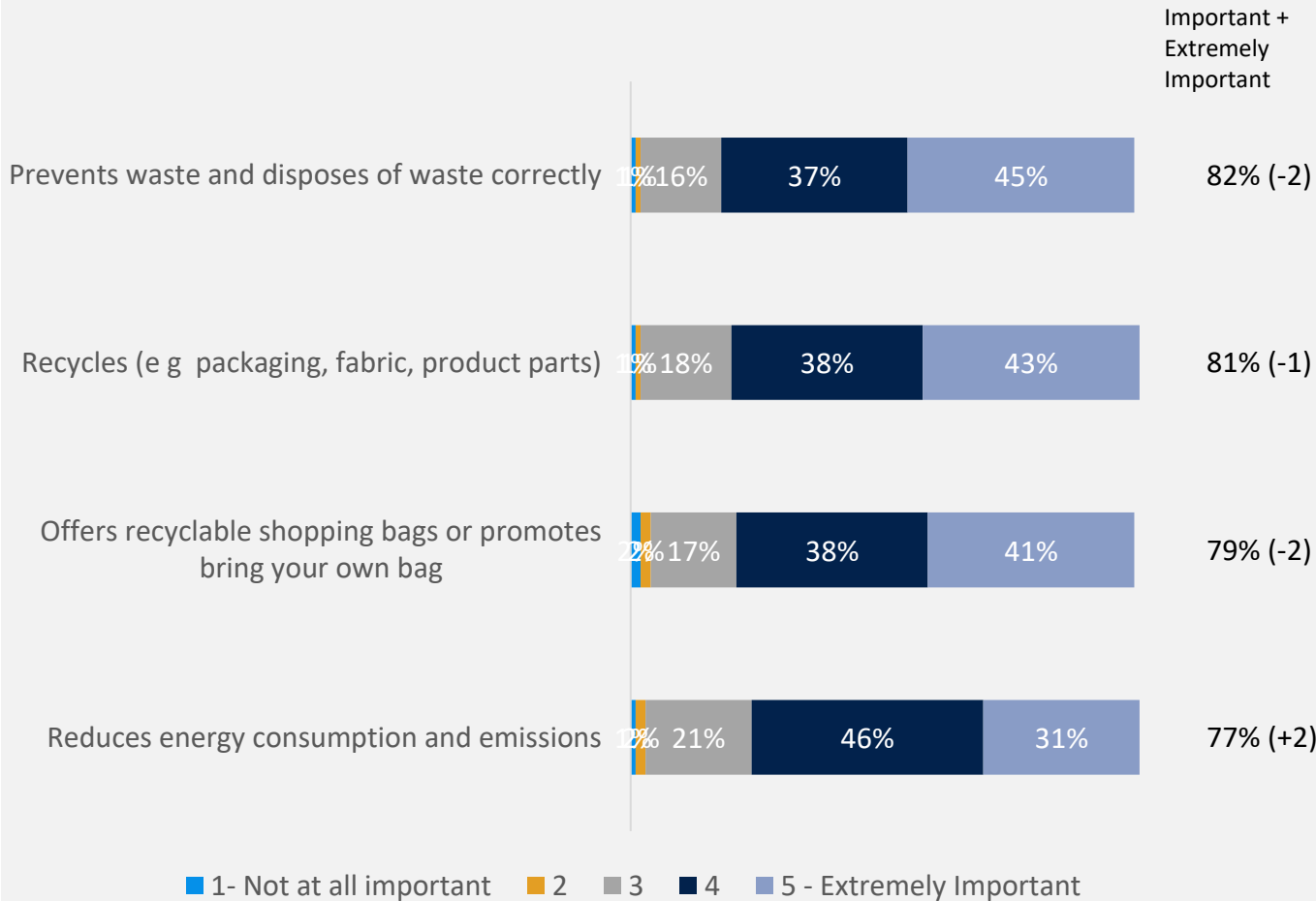
# ENVIRONMENTAL DOMAIN

Retailer’s environment efforts are very important to New Zealanders across the board but we are seeing slight drop offs in importance compared to last year, apart from reducing energy consumption, importance for which has increased 2 percentage point in last year. However, all statements still hold relatively equal importance.

Majority of New Zealanders think preventing waste and disposing waste correctly is important and extremely important. This is higher among females (85%) and the older demographic (those 55 years+, 87%) compared to 77% of 18-24 year olds.

Females are more likely to find offering recycling shopping bags or promoting bringing own bags (84%) significantly more important than males (73%).

Q How important is it that a retail business/brand implements or are involved in the following: Environmental Domain

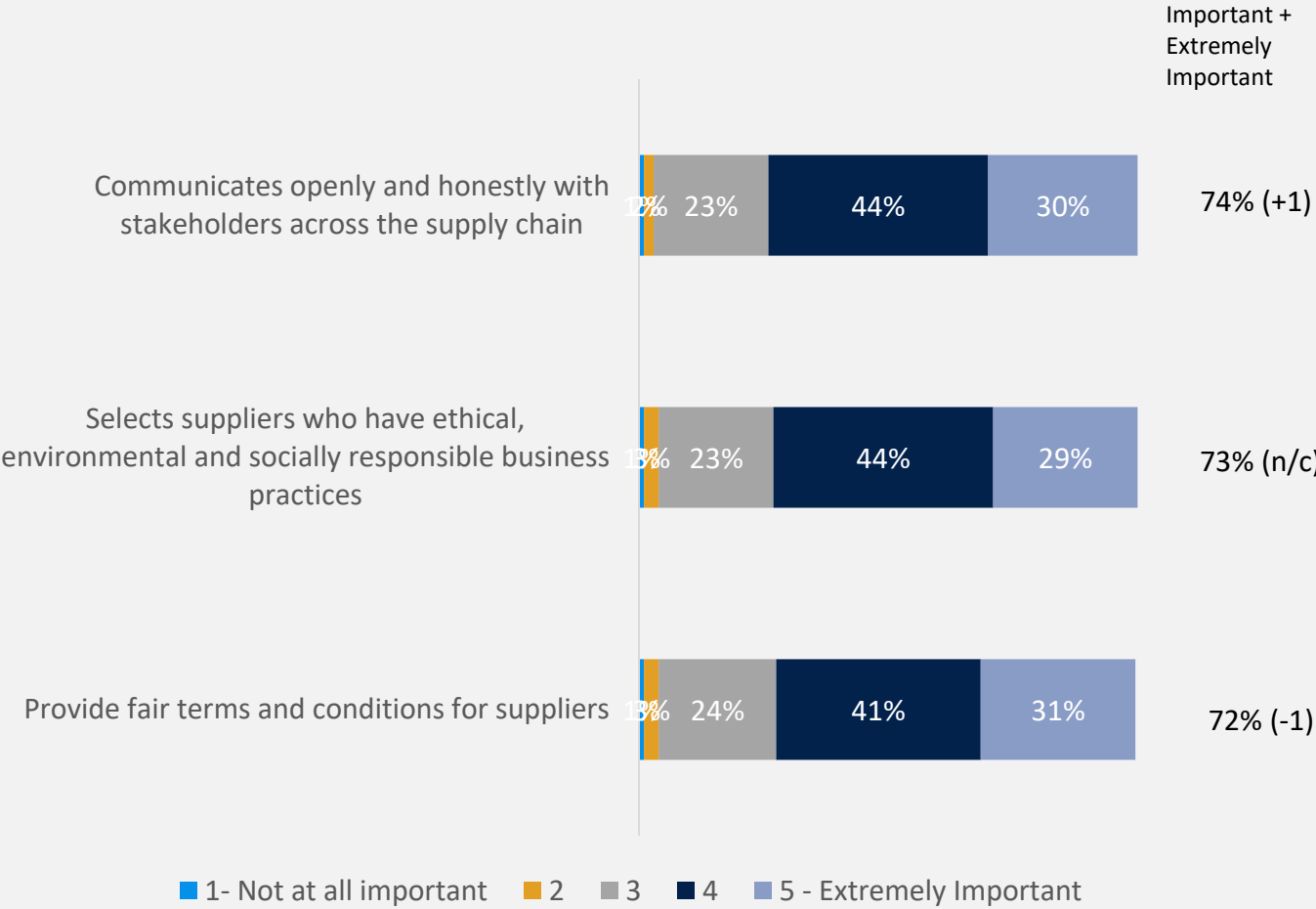


# SUPPLIER DOMAIN

All three supplier domain statements hold equal importance, however, communicating openly and honestly with stakeholders across supply chain is the most important supplier domain statement for New Zealanders (74%). This importance is significantly higher in females (78%). Older New Zealanders hold strong importance towards this statement, 55+ years (82%) Vs 18-34 year olds (70%).

Females and older demographic of 55+ years hold strong importance across board with supplier statements.

Q How important is it that a retail business/brand implements or are involved in the following: Supplier Domain



Base: Total (n=1,042), (+/- signifies change compared to last year) (n/c signifies no change)



# SHAREHOLDER DOMAIN

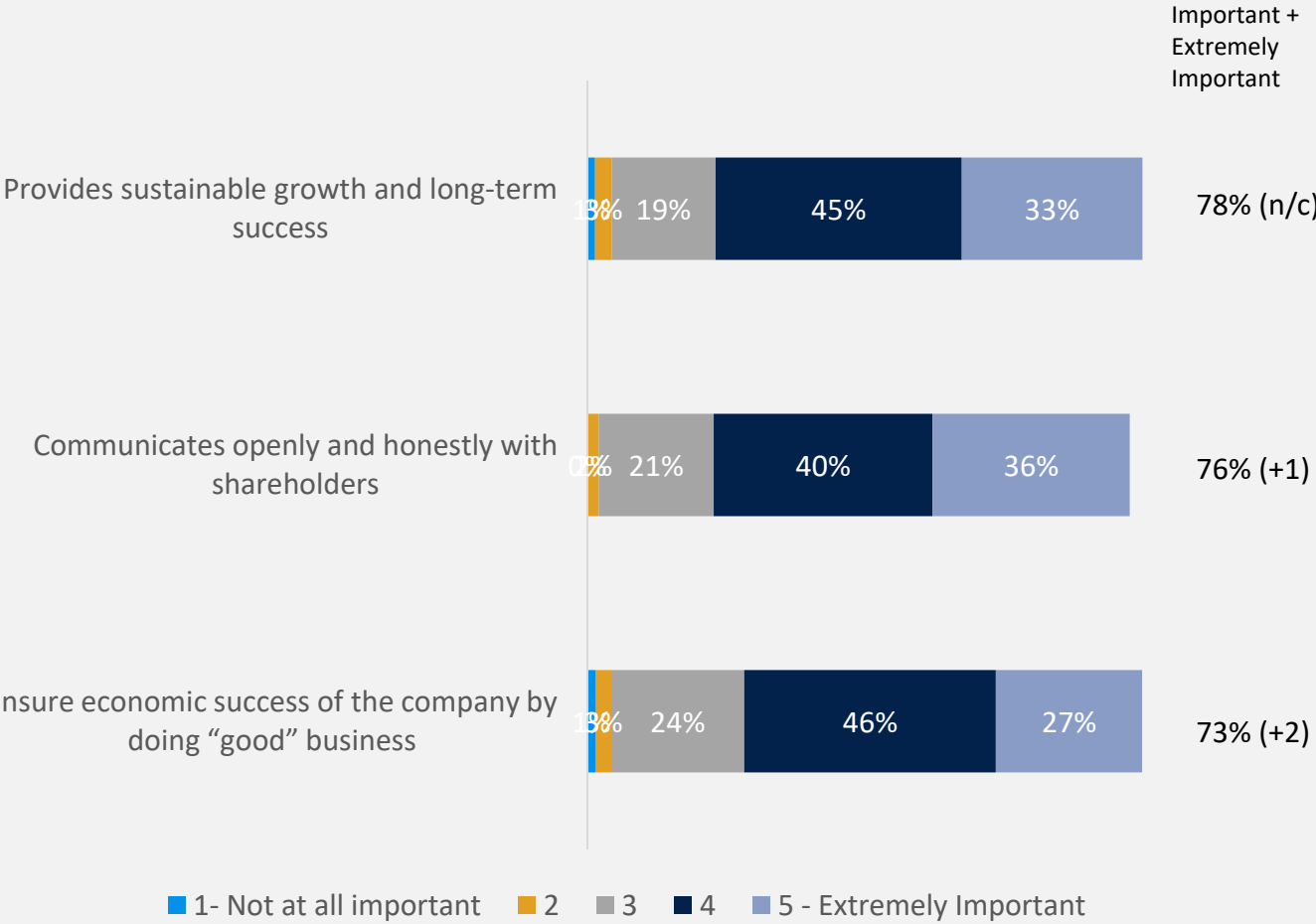
Providing sustainable growth and long-term success remains the most important statement in shareholder domain (78%). There is an even split of importance between males and females.

Statements around communicating honestly with shareholders (+1) and ensuring economic success of the company by doing “good” business (+2) witnessed slight increase in importance this year.

Communicating honestly and openly with shareholders is significantly more important for 65+ years (88%) compared to 18-24 year olds (72%).

Overall, the older demographic holds a stronger importance across shareholder domain statements.

Q How important is it that a retail business/brand implements or are involved in the following: Shareholder Domain

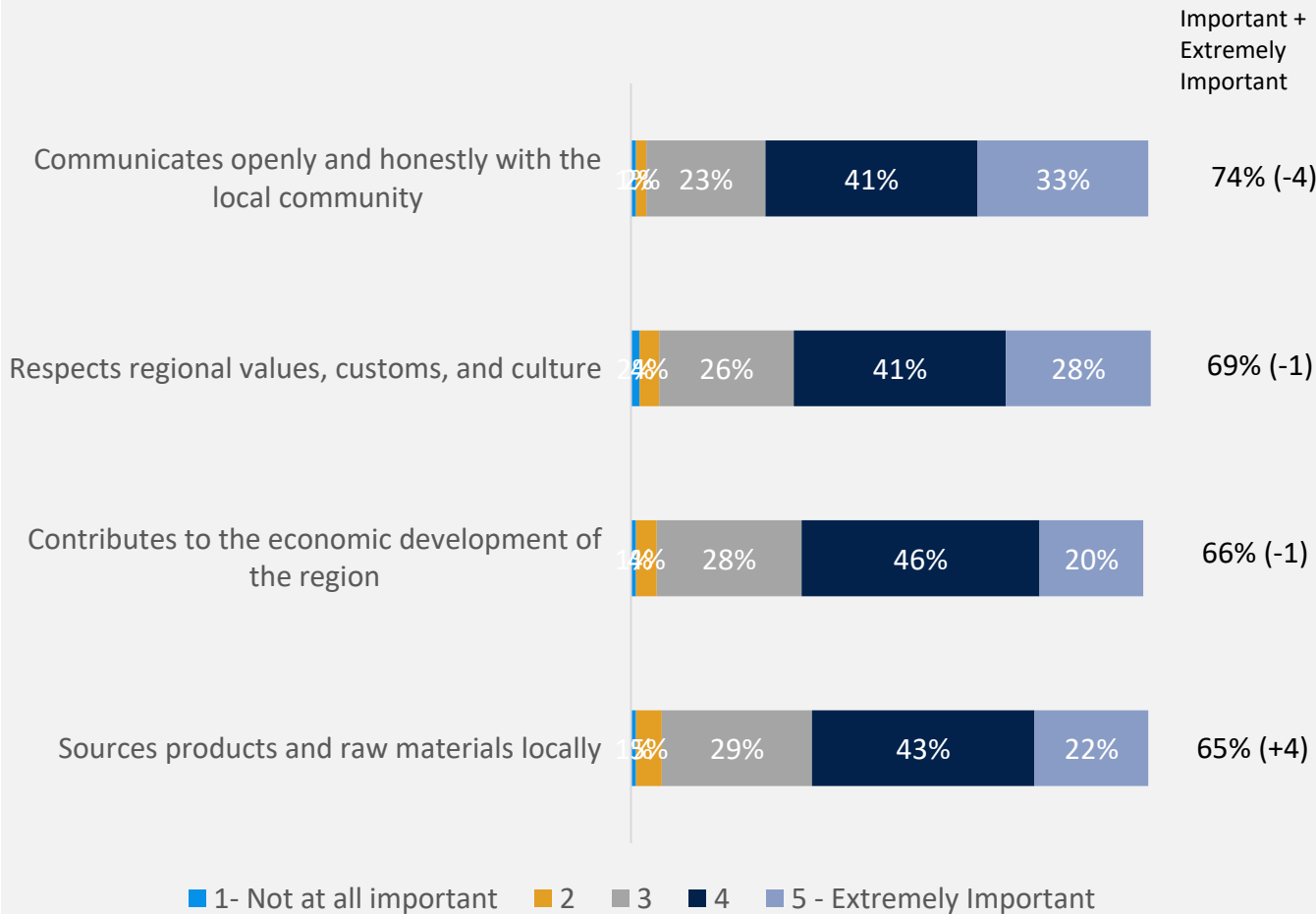


# COMMUNITY DOMAIN

Communicating openly and honestly with the local community that they operate in once again comes out on top for New Zealanders in the community domain (74%). This statement witnessed a slight drop off in importance levels this year, down 4 percentage points. Importance for communicating openly and honestly is highest among 65+ year olds (85%) and significantly higher in females (79%) compared to males (69%).

The statement around sourcing products and raw materials locally (65%) has gained importance since last year, up 4 percentage points.

Q How important is it that a retail business/brand implements or are involved in the following: Community Domain



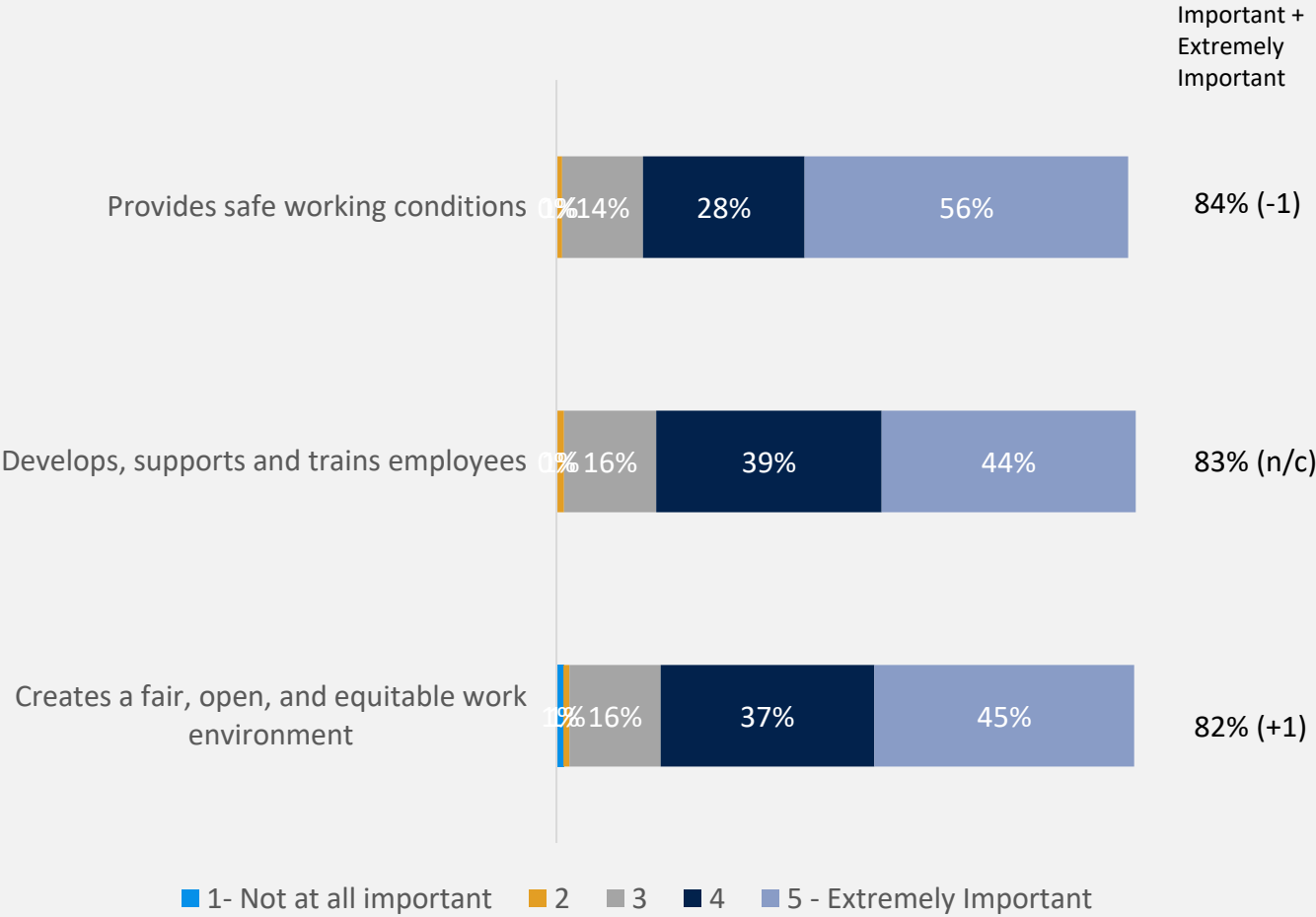
Base: Total (n=1,042), (+/- signifies change compared to last year) (n/c signifies no change)



# EMPLOYEE DOMAIN

Employee domains seems to have the highest importance among New Zealanders. All three employee domain statements hold equal importance. Providing safe working conditions leads the employee domain statements (84%), highest in females (88%) and those aged 65+ years (93%)

Q How important is it that a retail business/brand implements or are involved in the following: Employee Domain



Base: Total (n=1,042), (+/- signifies change compared to last year) (n/c signifies no change)

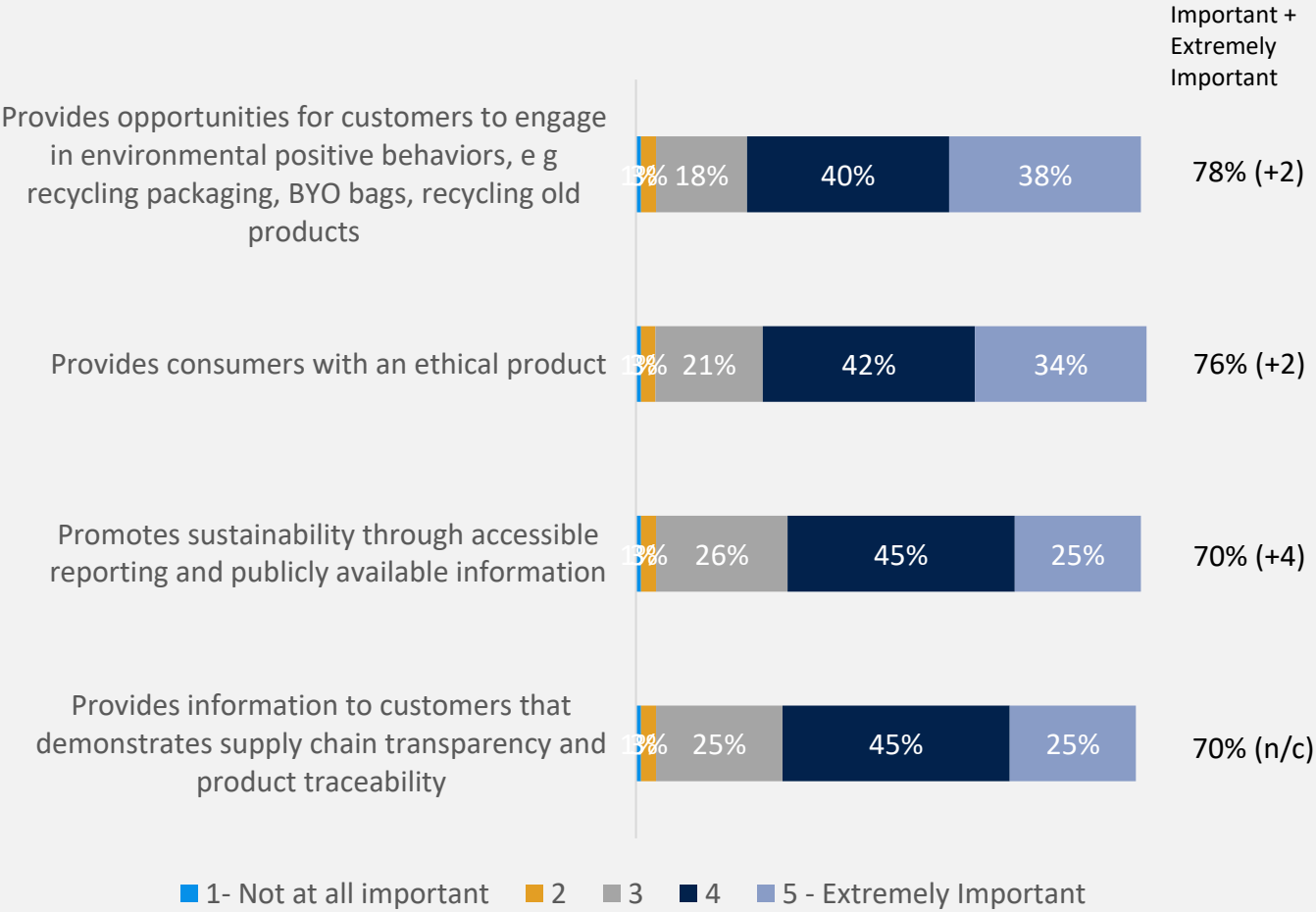


# CUSTOMER DOMAIN

Consumers are pushing brands towards sustainability but today we are also seeing increasing social pressure among customers to engage in sustainable development. Positively, 78% of New Zealanders agree to this and feel it is very important for brands to provide opportunities to engage in environmental positive behaviours, this is highest in females (82%) vs males (73%) and 65+ year olds (87%).

Customer domain statements have gained importance this year, the highest gain seen in the statement around promoting sustainability through accessible reporting and publicly available information (70%, up 4 percentage points since 2019).

Q How important is it that a retail business/brand implements or are involved in the following: Customer Domain



Base: Total (n=1,042), (+/- signifies change compared to last year) (n/c signifies no change)



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THANK YOU